Eisenhower as the American military governor of Germany and the hero of the 1948–49 Berlin airlift, Clay was sent by Kennedy to West Berlin in August 1961 as his adviser and representative to calm the city's residents. Clay achieved that goal but made everyone very nervous on October 27 when he sent American tanks to Checkpoint Charlie on the border between the eastern and western sectors to enforce American rights to move freely through the entire city, including its eastern part, as guaranteed by the four-power agreements of the immediate postwar era. The Soviets responded by moving their own tanks to the area.

By early evening the two columns of tanks faced each other at Checkpoint Charlie, each less than one hundred meters from the demarcation line. The tanks had live ammunition, and their crews had orders to respond if fired upon. Clay, in charge of the US troops, was prepared to use his tanks to crush parts of the newly constructed Berlin Wall. Darkness fell with no resolution to the crisis. Not until morning did the tanks begin to draw back from the demarcation line. First the Soviet tanks moved five meters back; the Americans followed suit. Then came another five meters from both sides, then another. The standoff, which had begun at 5:00 p.m. on October 27, was over by 11:00 a.m. on October 28. The orders came from the very top—the White House and the Kremlin. Neither Kennedy nor Khrushchev wanted the situation to escalate into war.[27]

The danger of immediate military confrontation was removed as a result of the secret deal between Kennedy and Khrushchev. Its parameters were defined during the two conversations between the president's brother Robert Kennedy and Colonel Georgii Bolshakov of Soviet military intelligence, who was stationed in Washington. The Soviets were asked to avoid any aggressive actions and were assured that the Americans would respond in kind. Khrushchev was first to order his tanks to begin withdrawing. The Americans followed suit. The price exacted from the Americans included an end to civilian travel across sectoral lines. The Soviets won that point, but the world, seeing the Soviet tanks withdrawing first, assumed otherwise. Unbeknownst to both sides, it would be a model for the solution of a later and much more serious crisis.[28]